



Understanding corporate governance in China

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ABSTRACT

Corporate governance in China may offer implications and useful insights for corporate governance theory and practices in other countries. This paper aims to provide a “thought leadership” piece to enhance understanding of corporate governance in China, describing the “China model” of corporate governance practice and theory. We focus on and discuss the uniqueness of corporate governance in China from eight aspects: large shareholders, institutional investors, board of directors, managerial incentives, information intermediaries, laws and regulations, three types of markets, and corporate social responsibility (CSR). We also discuss papers published in the special section on the theme of corporate governance and corporate social responsibility in China. These studies further our understanding of the China model of corporate governance.

1. Introduction

In recent years, much research has been published about corporate governance in mainland China (e.g., Jiang, Lee, & Yue, 2010; Jiang, Wan, & Zhao, 2016; Liao, Liu, & Wang, 2014). Additionally, Jiang and Kim (2015) compiled a special issue on corporate governance in China, and more recently, He and Wang (2022) compiled a special issue on China with some papers focusing on corporate governance. The British Accounting Review (BAR) has also published excellent papers on corporate governance in China (e.g., Hou, Kuo, & Lee, 2012; Wei & Xiao, 2009). This research has primarily focused on the agency problems of controlling shareholders and state-owned enterprises (SOEs), the efficacy of internal and external monitors, the role of political and social connections, and the effectiveness of laws, institutions, and new regulations (see Jiang and Kim (2020) and Wong (2016) for surveys of this literature, and Mutlu, Van Essen, Peng, Saleh, and Duran (2018) for a meta-analysis of this literature). Given China's ambitious climate goals, recent papers have studied CSR and ESG in China (e.g., Bartling, Weber, & Yao, 2014; Chen, Hung, & Wang, 2018; Zhang, Chen, & Guo, 2018), with some also published in BAR (e.g., Qian & Chen, 2021).

All the papers and efforts mentioned above have not only contributed to the literature and theory of corporate governance but have also helped scholars and practitioners become highly knowledgeable about the practice of corporate governance in China. To further improve understanding of corporate governance in China, we launched a special section on “Corporate Governance and Social Responsibility in China.”

There are at least three reasons why we should understand corporate governance in China. First, China's economy (which is the world's second largest) and its firms are important. For example, China currently has more firms in the Fortune 500 than any other

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country.¹ China maintains close trade relations with more than 140 countries and regions and leads the world in total volume of goods traded.² Furthermore, not only are many foreign companies entering China, but Chinese firms are also increasingly becoming global. Therefore, understanding corporate governance in China will not only help advance the development of Chinese companies, its capital markets, and even its economy, but it will also help outsiders better understand China and Chinese companies, as this knowledge will facilitate the nurturing of their business ties with China and its firms.

Second, China is unique. Unlike the political systems of most countries in the world, China is a socialist country. Per conventional wisdom, there are two typical models of corporate governance: the Anglo-American model and the German Japanese model. These models are significantly different from one another. There are even differences within each model. For example, corporate governance is somewhat different between the United Kingdom and the United States, as well as between Germany and Japan. These differences are largely related to the political environment in different countries. As pointed out by scholars, including Roe (1994) and Shleifer and Vishny (1997), political pressure is just as important as economic pressure when it comes to shaping corporate governance systems. As such, it should be no surprise that China's corporate governance system can be dramatically different from Western countries, given the stark differences in their political systems and ideologies. Moreover, because China is a large developing country and its current capital markets have only been in existence for about 30 years, both its formal systems, such as laws and regulations, and informal systems, such as culture, create a unique institutional environment, which also contributes to the uniqueness of corporate governance in China.

Finally, understanding corporate governance in China can also increase our breadth and depth of understanding corporate governance practices in general. Given China's economic growth, and the financial success of so many Chinese firms, one may (and perhaps should) ask, "What has worked in China, and can it work in other countries and for other firms too?" That is, China's model of corporate governance may offer implications and useful insights for corporate governance practices in other countries.

It should be recognized that corporate governance in China is not only unique, but it is also complex. The complexity of corporate governance in China is mainly reflected in the coexistence of state-owned enterprises (SOEs) and non-state-owned enterprises (non-SOEs), which have completely different property rights. At the beginning of the establishment of Chinese capital markets, all listed companies were SOEs. Gradually, more types of companies have gone public, such as private companies or family firms, and even some foreign firms (i.e., where the largest shareholder is a foreign entity). In 2021, 78% of listed firms are non-SOEs.³ However, SOEs are still very important. About 70% of the market value of listed firms are SOEs. It would be difficult to understand corporate governance in China without distinguishing between these two types of companies, and especially without knowing their differences. Perhaps the two most salient differences are as follows.

First, SOEs and non-SOEs differ in their objectives. The first-order objective of non-SOEs is undoubtedly profit and value maximization, but SOEs have multiple objectives. While SOEs pursue profit, they are also responsible for supporting the government to achieve its political and social objectives, such as contributing to macroeconomic-related goals, promoting employment, alleviating poverty, and supporting other national strategies. Second, they differ fundamentally regarding their large shareholders. Both types of firms have large shareholders, however, different from non-SOEs, the so-called large shareholders in SOEs are not literally owners but they are agents of the nation, which inevitably leads to the possibility that these agents may act on behalf of their self-interests rather than the interests of the country. In China, this problem is sometimes referred to as "owner-absence" in SOEs.

The differences in objectives and in large shareholders lead to different types of agency conflicts between SOEs and non-SOEs. In non-SOEs, although there are conflicts of interest between shareholders and managers to some certain extent, it is the type II agency problem, namely the conflicts of interest between large shareholders and minority shareholders that is more serious (in Jiang and Kim (2020), we refer to this as the "horizontal agency problem"). However, the opposite is true in SOEs. Specifically, the relevant agency problem in SOEs is the one between shareholders and managers (in Jiang and Kim (2020), we refer to this as the "vertical agency problem"), albeit there are still some conflicts of interest between large and small shareholders. Therefore, when discussing corporate governance in China, the first question that must be asked is: "Is the firm an SOE or a non-SOE?" This is an important and fundamental precursor to the discussion of corporate governance in China.

In our paper, we first focus on and discuss the uniqueness of corporate governance in China from eight aspects: large shareholders, institutional investors, board of directors, managerial incentives, information intermediaries, laws and regulations, three types of markets (i.e., manager labor, product, and corporate control), and corporate social responsibility (CSR). Among these discussions, the one on CSR is slightly the longest for two reasons. First, the special section specifically distinguishes CSR as its own unique topic. Second, in Jiang and Kim (2015), we did not provide any stylized facts or summary statistics related to CSR in China. In the current paper, we take this opportunity to do so. Second, we summarize papers published in the special section and also a few related papers published in regular issues of BAR.

Our paper aims to provide a "thought leadership" piece, distinguishing it significantly from our earlier summaries of corporate governance in China. In Jiang and Kim (2015), our "overview" paper, we present many stylized facts related to corporate governance in China and provide thorough discussions of them. In Jiang and Kim (2020), our "survey" paper, we offer an extensive literature review of papers studying corporate governance in China that have appeared in top academic journals. We believe this paper, along with the special section papers published, significantly enhances the understanding of corporate governance in China.

¹ Source: https://www.fortunechina.com/fortune500/c/2020-08/10/content_372148.htm.

² From the Report to the 20th National Congress of the CPC: http://www.gov.cn/xinwen/2022-10/25/content_5721685.htm.

³ Unless stated otherwise, all statistics reported in our paper comes from the Chinese Stock Market & Accounting Research (CSMAR) Database.

2. Large shareholders

Unlike in Western countries, large shareholders and concentrated ownership are very common in China and it is even viewed as the norm.⁴ In 2000, the median holding of the largest shareholder of a Chinese listed firm was 44%. Although this median percent has declined over the years, it was still 31% in 2021. In 2000 (2021), 94% (82%) of listed firms had at least one large shareholder with a stake of more than 20%.

A large shareholder can have two sides: good guy and bad guy. Large shareholders can either act as stewards and monitor managers and lower agency costs, or they may pursue private benefits of control and exacerbate the agency problem. Usually, whether a large shareholder is a good guy or bad guy depends on the institutional environment. In the West, large shareholders are often thought to be aligned with minority shareholders, and thus be good guys (Sheffler and Vishny (1986, 1997); Demsetz (1983; 1986)), but in emerging economies, large shareholders may expropriate from minority shareholders, and thus be bad guys (LaPorta, Lopez-de-Silanes, and Sheffler (1999); Johnson, LaPorta, Lopez-de-Silanes, and Shleifer (2000)). In China, however, we find that large shareholders can be one or the other, and that it largely depends on the size of their holdings. We can consider two cases: the largest shareholder that holds 70% versus a large shareholder that holds 30%. The 70% owner's interests tend to be aligned with those of the listed company. They gain the most from acting as stewards and from managing the company well. In contrast, a 30% owner may have strong incentives to divert resources from the listed company rather than trying to run it well. Therefore, when a listed firm has a single large shareholder, this by itself is not a problem. The potential problem is when that single largest shareholder is not a majority shareholder. Here, the large shareholder has control, but does not have a majority claim on the firms' cashflows to all shareholders. As such, this large shareholder has temptations to tunnel or to shirk. In our own research, we have found evidence that corroborate these contentions, as we find that firms with single large majority shareholders outperform firms with single large non-majority shareholders (see Jiang, Kim, Nofsinger, and Zhu (2017)). To improve corporate governance in China, figuring out how to restrain the temptations of single large non-majority shareholders is important.

The role of large shareholders in China presents unique challenges and opportunities for corporate governance. While they can act as stewards, the potential for expropriation from minority shareholders remains a significant concern. Future research should dig deeper into the conditions under which large shareholders align with minority interests, particularly in other emerging markets. Furthermore, exploring mechanisms to mitigate the risks associated with non-majority large shareholders could provide valuable insights for improving corporate governance practices in China. Given the distinctive landscape of Chinese corporate ownership, understanding these dynamics is crucial for both policymakers and investors.

2.1. Multiple large shareholders

Some Chinese firms have multiple large shareholders. This is not unique to China, as many firms around the world also have multiple large blockholders (e.g., see Attig, Guedhami, and Mishra (2008)). In China, nearly 30% of listed companies have more than one large shareholder that each own more than 10% of the outstanding shares. These multiple large shareholders (MLS) can potentially monitor the firm and each other, which creates an ownership structure that can be beneficial and value-enhancing for minority shareholders. Alternatively, however, they may collude with each other for their joint-interests, which creates an ownership structure that can be harmful and value-destroying for minority shareholders. In China, we have found that companies with MLS can enjoy better performance (measured as ROE) than companies with both a single large majority shareholder and a single large non-majority shareholder (see Jiang and Kim (2015) and Jiang et al. (2017)).

How and why can multiple large shareholders be better than a single large majority shareholder? They might cooperate with each other to adopt value-enhancing corporate policies. For example, Jiang, Cai, Wang, and Zhu (2018) find that firms with MLS have optimal investments policies. However, cooperation can be a double-edged sword. As mentioned earlier, multiple large shareholders may collude to serve their joint interests. For example, Jiang, Cai, Jiang, and Nofsinger (2019) find that MLS may enrich themselves by having their firms pay large dividends.

How and why can multiple large shareholders be better than a single large non-majority shareholder? They might monitor each other. The results in Jiang et al. (2018) discussed above is consistent with monitoring, as the multiple large shareholders appear to be preventing one another from underinvesting and overinvesting. In addition, Jiang, Shen, and Cai (2022) find that multiple large shareholders monitor each other to restrain corporate financialization.

It is well known that since 2013, China has launched a mixed ownership reform, encouraging non-SOEs to become shareholders or large shareholders of SOEs. In fact, this reform began in the late 1980s, during the early stages of state-owned enterprise reform. The essence of state-owned enterprise restructuring and listing was to attract non-state-owned capital and carry out ownership-level reforms, aiming to achieve external shareholder supervision over state-owned major shareholders and managers and improve enterprise performance. However, due to the limited presence of non-state-owned major shareholders in state-owned enterprises, effective supervision over state-owned major shareholders and managers has been challenging. The 2013 reform sought to address this by encouraging non-state-owned enterprises to become major shareholders of state-owned enterprises, thereby enhancing corporate governance.

Theoretically, when all large shareholders of a firm are of the same type, they share similar incentives. Similar investors are more

⁴ For ownership statistics around the world, see LaPorta et al. (1999).

likely to communicate and collaborate effectively, understanding each other's motivations and processes, thus enhancing mutual monitoring. As a result, firms with similar large multiple shareholders may experience lower agency costs. Conversely, when firms have different types of large shareholders, these investors may have divergent incentives and agendas, potentially reducing their willingness to work together due to conflicting goals. It is well known that Chinese SOEs have dual objectives: production and social stability (Bai, Lu, & Tao, 2006), while non-SOEs primarily pursue profit maximization. Additionally, management may exploit these differences, weakening the ability of shareholders to monitor management and each other. Thus, firms with diverse large shareholders may face higher agency costs. Jiang et al. (2017) found that firms with similar types of multiple large shareholders outperformed in both ROA and EBIT compared to firms with diverse large shareholders. Therefore, there are challenges for the mixed ownership reform in achieving its goal of improving corporate governance in SOEs, particularly given the differing objectives of SOEs and non-SOEs.

The presence of multiple large shareholders (MLS) in Chinese firms introduces a unique governance dynamic that can either enhance or hinder firm performance. The dual potential for cooperation and collusion among MLS necessitates further investigation into the conditions that lead to beneficial versus detrimental outcomes. Future research should focus on the interplay between different types of large shareholders, particularly in the context of mixed ownership reforms. Additionally, understanding the regulatory and institutional factors that influence MLS behavior can shed light on how to leverage these structures for improved governance and firm performance.

3. Institutional investors

To give rise to institutional investors in China, on November 14, 1997, the Securities Committee of the State Council released the Interim Measures for the Administration of Securities Investment Funds.⁵ In 1998, five closed-end funds were launched, and they represented the first institutional investors in China. After more than 20 years of development, the types of institutional investors that operate in China have expanded dramatically. There are now securities investment funds, insurance funds, social security funds, trust funds, and qualified foreign institutional investors (QFII). According to the WIND database, the outstanding market value of listed A-shares held by various institutional investors reached 34 trillion RMB by the end of 2021.⁶ However, it is important to note that unlike the developed capital markets in Western countries, where institutional investors are large shareholders, institutional investors in China are only minority shareholders. At the firm level, shares held by institutional investors are far less than those held by large shareholders (Jiang and Kim (2015); Jiang, Jiang, and Kim (2020)), even though institutional investors in China tend to concentrate their holdings in a small number of firms.⁷

For institutional investors in China, due to their low stakes and due to the coexistence of large shareholders, they are inclined to be short-term traders, as reflected by their high turnover rate of stock ownership. The annual turnover rate of stocks held by institutional investors can sometimes be greater than 1000%, such as in Shenzhen GEM Board in 2010. Even in some years where the turnover ratio is "only" about 100%, this is mostly due to those years being in bear markets (e.g., 2012), and so the gains to active trading is limited.⁸ This is largely different from institutional investors in Western countries, where institutional investors may be long-term shareholders and active monitors.⁹ In China, given that the absolute end of concentrated ownership is neither near nor likely, the development of institutional investors for the near-term may not involve a need to make them into engaged owners or monitors, but it may involve a need to have them contribute to the stability of capital markets. That is, despite being minority shareholders, Chinese institutional investors may still be able to play a corporate governance role through their active trading. As time goes by, the ownership structure of many listed firms is becoming more dispersed, giving rise to firms having many retail investors. Given that institutional investors are more sophisticated than retail investors, the selling by institutional investors can not only drive down stock prices, but they can also send negative signals to the market. Chinese listed firms may therefore take actions to dissuade institutional investors from selling their shares. That is, institutional investors in China may be able to play a governance role through the threat of their exit.¹⁰

Institutional investors in China, predominantly minority shareholders, play a unique role in corporate governance through active trading rather than direct engagement. This contrasts with the long-term monitoring typically seen in Western markets. There is a need to explore how institutional investors can contribute to market stability and corporate governance, despite their minority status. Future research should investigate the potential of these investors to influence corporate behavior through trading strategies and the implications for market dynamics. Understanding the evolving role of institutional investors in China's maturing capital markets is crucial for developing effective governance frameworks.

⁵ See: https://www.pkulaw.com/en_law/c3c68f8f83726f1ebdfb.html.

⁶ Listed A-shares are regular domestic stock shares. There are also B-shares, which are denominated in foreign currency (U.S. or Hong Kong dollars), but their market capitalization is less than 0.5 percent of total market capitalization.

⁷ According to the WIND Database, for about half of the listed firms in China, there are zero institutional investors. For about a quarter of the firms, institutional investors in aggregate hold about 10% of the shares. For only about 10% firms, institutional investors in aggregate hold about 20% of the shares.

⁸ For a more detailed discussion of this topic, see Jiang and Kim (2015).

⁹ However, whether institutional investors in the United States are active and effective monitors is contentious (see Gillan and Starks (1998) for a literature review), and whether they monitor may depend on their type and their investment horizon (see Chen, Harford, and Li (2007)).

¹⁰ When institutional investors cannot use "voice" as a corporate governance mechanism, then they may use the "threat of exit" as a substitute (Admati & Pfleiderer, 2009; Edmans, 2009). The price declines that occur due to their selling can have a long-lasting effect (Holthausen, Leftwich, & Mayers, 1990; Sias, Starks, & Titman, 2006). Hope, Wu, and Zhao (2017) confirm that the threat of exit is a corporate governance mechanism in China.

4. Board of directors

The board of directors of Chinese listed firms should be discussed separately for SOEs and non-SOEs. However, for both firms, the board is largely a formality and controlled by the actual controller of the company. For non-SOEs, the boards are controlled by large shareholders, and they are primarily a place for large shareholders to exercise their power. For SOEs, the board chair controls the board, but the chair is also the top manager of the firm. In this sense, SOEs are like companies in Western countries, where the board can be controlled by the CEO.

Regarding *independent* directors, their presence is merely to meet China Securities Regulatory Commission (CSRC) regulations. The CSRC mandates that at least one-third of board members must be independent (Jiang and Kim (2015)). Therefore, any differences in independence ratios are mainly due to board size. For example, in the case of a board with seven members, three independent directors are required to meet the regulatory requirement. This is an independence ratio of 43%. For a firm with nine members, its independence ratio is usually 33%. Both firms have the minimum number of independent directors, but some studies might treat the former board as being significantly more independent. While we concede it is possible for three independent directors to have more leverage over four inside directors than six inside directors, the fact remains that in both cases they are in the minority, and therefore there may be no meaningful difference in the independence ratios of these two boards. As such, perhaps it is not surprising that research largely finds boards to be rubber stampers in China, regardless of their independence ratios (e.g., see Jiang et al. (2016)).

One additional point regarding independent directors in China necessitates mentioning. Different from Western countries, independent directors in China are charged with the role of monitoring large controlling shareholders on behalf of minority shareholders (Jiang and Kim (2015)). Naturally, this role can lead to conflicts between large shareholders and independent directors. Note that this conflict not only potentially limits independent directors from monitoring effectively, but it may also limit them from playing an important advisory role.

In terms of CEO/chair duality, the proportion of listed companies with CEO/chair duality is low; about 10% in SOEs and 30% in non-SOEs. Some authors may use this ratio in their empirical studies, often as an independent variable to control for corporate governance related effects. However, it should be noted that this ratio dramatically under-reflects the duality in China. While almost all firms have a CEO, it is often the board chair that is the top manager (Jiang and Kim (2015)). In addition, the implication of CEO/chair duality in China is also different from Western countries. In the West, CEO/chair duality reflects the power and the entrenchment of the CEO, but in China, it reflects the extension of power that the chair and controlling shareholder has, as it shows that they not only control the board but also the management team.

The board of directors in Chinese firms, particularly in SOEs, often serves more as a formality than an effective governance body. The practice of CEO/chair duality and the limited influence of independent directors highlight the need for deeper structural reforms. Future research should explore how board composition and dynamics can be improved to enhance oversight and decision-making. Additionally, examining the effectiveness of recent regulatory changes aimed at increasing board independence could provide valuable insights into the unique challenges of corporate governance in China. Addressing these issues is essential for aligning board practices with global standards.

4.1. Board of supervisors

China initially adopted and employed a two-tier board system, like the German Japanese model. However, in December 2022, a draft document soliciting comments regarding revisions to the Chinese Company Law suggests that firms could decide for themselves on whether to have a board of supervisors. In particular, as prescribed by this law, instead of having a board of supervisors, a joint-stock limited company can set up an audit committee in the board of directors to exercise the functions and powers of the board of supervisors.¹¹ However, while doing away with a two-tier board may be suitable for non-SOEs, given that having two boards can largely be redundant and even futile, it is not suitable for SOEs. For SOEs, directors are “agents” of shareholders, especially when they are appointed by large state-owned shareholders. These agents may pursue their own objectives rather than the interests of national shareholders. As such, they need to be monitored by a supervisory board. For some SOEs, however, the board of supervisors may have low status in the company (for example, this may occur if the supervisory board consists of low-ranking government officials). Therefore, for SOEs, it is important to improve the selection mechanism and the operation mechanism of the board of supervisors, as they can potentially provide a necessary corporate governance role.

The dual-board system, including the board of supervisors, in Chinese SOEs is undergoing significant changes. The potential elimination of this structure raises questions about the best mechanisms for oversight in state-owned enterprises. Future research should investigate the impact of different governance models on SOE performance and accountability. Additionally, understanding how to enhance the effectiveness of supervisory boards, particularly in the context of political and economic objectives, is crucial. This aspect of corporate governance in China offers a unique opportunity to study the balance between state control and corporate autonomy.

¹¹ See: https://pkulaw.com/en_law/18f5568a0d23013f28382d12aec15a07bdfb.html.

5. Managerial incentives

So far, we have discussed corporate governance from the perspective of monitoring. Another corporate governance mechanism is to provide managers with incentives, such as high pay, to motivate them to work hard on the behalf of all shareholders. However, when it comes to understanding managerial incentives in China, the first question that needs to be asked is “who is the real manager?” The answer is different between SOEs and non-SOEs. In non-SOEs, the top executives are the managers. However, in SOEs, the manager may be the board chair, as well as other directors, supervisors, and executives. In addition, it should be noted that unlike in Western countries, where the CEO controls the allocation of company resources, the CEOs in China have relatively less power compared to CEOs in the West.

Two further important points that we want to make here are as follows. First, strong supervision and oversight may weaken the importance of managerial incentives in China. The level of incentives for executives of listed companies in China are much lower than those in Western countries. CEO pay of the largest firms in China is only a small fraction of what CEO pay is for the largest firms in the United States. In 2022, the average CEO pay for S&P500 firms was 16.7 million USD.¹² In China, the average CEO pay in 2021 was 1.36 million RMB (this is about 200 thousand USD). While one can simply point out that China is still a developing economy, which can therefore explain its comparatively lower executive salaries, the low compensation gives rise to the following possibility (which we believe to be highly plausible): Given that large shareholders in China have both the incentive and the ability to effectively monitor managers, it may not be necessary to incentive managers with high pay.

Second, the compensation of SOE executives may have influenced compensation of non-SOE executives. In 2009, the Ministry of Human Resources and Social Security, together with the Organization Department of the Central Committee, the Ministry of Supervision, the Ministry of Finance, the National Audit Office, the State-owned Assets Supervision and Administration Commission of the State Council, and other units, jointly issued the Guiding Opinions on Further Standardizing the Management of the Remuneration of the Heads of Central Enterprises,¹³ which is also known as the Executive Salary Limit Order of Central Enterprises. Executive salaries of SOEs are implemented according to this guide. Moreover, since the 18th National Congress of Communist Party of China, the government has formulated a series of regulatory measures for SOEs, such as the “eight-point frugality code” announced by the Chinese Communist Party on December 4, 2012.¹⁴ As such, executive compensation at SOEs cannot be that high. As a result, the executive compensation of SOEs may have an anchoring effect on the executive compensation of non-SOEs, at least to some extent. Along these lines, some research suggests that there is also some social pressure to cap top executive compensation in China, to prevent a wide disparity of pay within firms (e.g., see Firth, Fung, and Rui (2006, 2007) and Chen, Liu, and Li (2010)).

Managerial incentives in China differ significantly from those in Western markets, with lower compensation levels and unique political considerations. The dual role of managers, especially in SOEs, as both corporate and political agents complicates the incentive structure. Future research should explore how to design effective incentive mechanisms that align managers’ interests with those of shareholders, considering the unique context of Chinese governance. Additionally, examining the long-term impact of current incentive structures on corporate performance and governance quality could provide valuable insights for policymakers and firms.

6. Information intermediaries

Information intermediaries in Chinese capital markets mainly include securities analysts, external auditors, and the media. We discuss each, in turn.

6.1. Securities analysts

At the end of 2023, there are over four thousand sell-side securities analysts affiliated with securities firms in China.¹⁵ Although securities analysts mainly serve investors, their reports, especially those that contain their earnings forecasts and their buy and sell recommendations, can have a significant impact on companies’ stock prices. Therefore, insiders of the companies will pay attention to the opinions of analysts, especially those with a strong incentive to manage and to enhance the firms’ market values. In this sense, analysts can play an important corporate governance role in China.

However, it is also possible that analysts may collude with corporate insiders to help institutional investors make illegal profits through stock trading. There is already some evidence that analysts and fund managers trade favors and work together in China (see Gu, Li, Yang, and Li (2019)). In the West, securities analysts are increasingly becoming subject to more regulations to make their reports more transparent (e.g., see Koch, Lefanowicz, and Robinson (2013)) and to reduce their conflicts of interests (e.g., see Chen and Marquez (2009)), and these regulations have been found to have a varying degree of effectiveness. For China, given the short history of securities analysts, and the mild punishment of misconduct in the capital market, regulations will also have to play an important role to ensure that securities analysts provide a useful corporate governance function.

¹² <https://aflcio.org/paywatch/highest-paid-ceos>.

¹³ See: http://www.gov.cn/gzdt/2009-09/17/content_1419727.htm.

¹⁴ See: <https://www.12371.cn/special/zzjgdyqggjgzf/index.shtml>.

¹⁵ See: <https://gs.sac.net.cn/pages/registration/sac-publicity-report.html>.

6.2. External auditors

As an important information intermediary, external auditors can have a significant impact on Chinese capital markets and corporate governance. However, while the number of listed companies in China has continued to grow, for example from 1060 in 2000 to 5079 in 2022, the number of auditing institutions at first increased and then it decreased. In 2000, there were 82 audit institutions in China which provided auditing services for listed firms, which peaked at 116 in 2006, but then gradually declined to 57 in 2022.¹⁶ Although the total number of listed companies that are audited by the Big Four is small, those that are audited by them are typically the largest firms. This is why the audit fees of the Big Four account for a relatively high proportion of total audit fees (highest in 2008, at 66%), especially following the listings of some large SOEs and banks. In recent years, with the gradual development of domestic auditing institutions, the market share (as measured by revenue from auditing) of the Big Four has declined, but still stands at more than one-third.

Despite the frequent occurrence of corporate financial fraud, in which auditors are partly to blame, we still believe that auditors serve a good corporate governance role in China. Consider what would happen to Chinese capital markets and information disclosures of listed companies if there were no external auditors. We can explain this briefly from the implications of qualified audit opinions in the annual reports of listed companies. The proportion of qualified audit opinions that is unfavorable is very low, only about 5%. Even if we are leery that the other 95% of the audited firms have no problems, we still learn that 5% of the audited firms have some problems. For the other 95% of audited firms with favorable auditor opinions, it at least provides *some* assurance that an expert believes the firm's annual reports are accurate.¹⁷ However, we recognize that this weak assurance falls short if we want auditors to play an important and effective corporate governance role. We believe that a strengthening of penalties for auditors that violate their duties can give rise to auditors that will be more careful, conscientious, and committed to their responsibilities. In fact, in recent years, due to CSRC regulations, external auditors in China indeed have been doing a better job at catching misstatements (e.g., see [Lennox, Wu, and Zhang \(2014\)](#)).

6.3. Media

Media can effectively reduce the degree of information asymmetry between companies and external stakeholders through news reports. The media also plays an important role in the court of public opinion. That is, the media can provide a means for revealing, criticizing, and warning of illegal or questionable corporate and executive behaviors, and thus serves as an important external corporate governance mechanism ([Dyck, Volchkova, and Zingales \(2008\)](#)). However, in China, it may be important to know who controls the media. For example, [You, Zhang, and Zhang \(2018\)](#) review articles published in state-controlled financial newspapers in China and compare them to articles published in market-oriented financial newspapers. They find that the articles published in the former are less critical, less accurate, and more subject to reporting delays. In addition, the authors find that market-oriented newspapers are better at predicting firms' future performance.

In recent years, the wide application of the internet and mobile communication technology has not only greatly made it more convenient for the public to obtain information, but it also promoted a secondary dissemination of information through the sharing of information and communication for the public. In addition, the rapid development of social media, such as Weibo, WeChat, and short videos such as Douyin, has led to yet another means for firms and executives to be subject to public opinion and scrutiny. It has become more difficult, or even impossible, for parties involved in corporate misdeeds to manipulate media reports or to alter public opinion. Therefore, we believe that the media, especially the new forms of media, will continue to play an important role for corporate governance in China.

6.4. Summary

Information intermediaries, such as securities analysts and external auditors, play a critical role in China's corporate governance landscape. However, issues of transparency, collusion, and the effectiveness of regulatory oversight present unique challenges. Future research should focus on the development of regulations that enhance the credibility and independence of these intermediaries. Additionally, exploring the role of emerging media and technology in shaping corporate governance practices offers a significant avenue for future study. Understanding these dynamics is essential for improving information flow and accountability in Chinese capital markets.

7. Laws and regulations

Laws and the quality of their enforcement by regulators and courts are essential elements of corporate governance ([La Porta et al., 1997, 1998](#)). The Chinese government knows the importance of investor protection, and it took about 20 years for China to gradually establish a relatively complete legal system for capital markets. Specifically, it promulgated the Accounting Law in 1985, the

¹⁶ There are many accounting firms in China, about ten thousand by the end of 2022. However, according to the China Securities Law, only accounting firms with professional qualifications can provide audit services for listed companies.

¹⁷ Eventually, some of those firms may be exposed for financial fraud, but this can also occur in developed countries such as the United States (e.g., see [Dyck, Morse, and Zingales \(2010\)](#)).

Bankruptcy Law in 1986, the Company Law in 1993, the Securities Law in 1998, and the Property Law in 2007 (for more discussions of these laws, see Jiang and Kim (2020)). These laws have been amended and revised many times to adapt to the development of the economy, society, and institutional environment. Overall, the establishment of these laws has played a positive role in improving corporate governance in China (in Jiang and Kim (2020), we describe studies supporting the efficacy of these laws). But there is still plenty of room for improvement. For example, penalties and punishments for violations and crimes should be made higher if they are to truly become a deterrent to corporate misdeeds. The revised Securities Law (enacted in March 2020) has significantly increased punishment for illegal and irregular information disclosure: the punishment standards for listed companies have been increased from “300,000 to 600,000” to “500,000 to 5 million” RMB, and for serious cases, a fine of “1 million to 10 million” RMB can be imposed. Despite these increases, the penalty is still minor given that it pertains to illegal information disclosure. As such, it is not surprising that many corporate misdeeds occur in China.

However, there are signs that investor protection may significantly improve. The new Securities Law has a special chapter on “investor protection” and establishes a special representative litigation mechanism. The recent Kangmei Pharmaceutical Company’s misconduct of manipulating accounting information was the first case where the controlling shareholder, directors, and top executives were significantly punished (they had to compensate investors 2.46 billion RMB) under a Class Action Lawsuit that was allowed under the purveyance of the new Law of Securities.¹⁸ This may produce a deterrent effect, as large shareholders and top executives may begin to fear serious retribution for corporate misconduct.

As for regulatory oversight, although there is some room for improvement regarding some aspects, the CSRC has played a good governance role overall. This can be seen, for example, from positive stock market reactions to announcements of new CSRC regulations (e.g., see Berkman, Cole, and Fu (2010)). In addition, studies find that CSRC regulations have proven to be effective. For example, Lennox et al. (2014) find that the CSRC’s 2003 requirement that mandated auditor rotation improved audit quality, and Chen, Ke, and Yang (2013) find the CSRC’s 2004 segmented voting regulation led to fewer value-decreasing proposals submitted by corporate insiders. Therefore, while the CSRC is not perfect, we can easily surmise that China’s capital markets would not be in the good condition that they are in today if it were not for the CSRC.

China’s legal and regulatory framework for corporate governance has evolved significantly, yet challenges remain in enforcement and investor protection. The recent enhancements in penalties and the introduction of investor protection mechanisms are steps in the right direction, but further progress is needed. Future research should focus on the effectiveness of these legal changes and identify areas where additional reforms are necessary. Understanding the unique regulatory landscape in China, including the role of government oversight and its impact on corporate behavior, is crucial for developing a robust governance framework that protects investors and promotes market stability.

8. The markets for managers, products, and corporate control

After years of cultivation, the markets for managers, products, and corporate control are gradually providing effective corporate governance functions. We discuss each market, in turn.

8.1. The market for managers

The market for managerial talent represents a powerful incentive mechanism for managers (Hart, 1983). For example, managers may work hard so that they can get better jobs or higher salaries at another firm. In China, the labor market for managers of SOEs and non-SOEs is split (e.g., see Jiang, Huang, and Kim (2013) and Jiang and Kim (2015)). SOEs have their own closed internal market for managers. The central and local organizing departments maintain detailed information of government employees and allocate them to SOEs based on the needs of the enterprise and the status of the employees within the system (Jiang and Kim (2015); Kato and Long (2006)).

Non-SOEs have a wider market for managers. While managers of SOEs can enter the manager market of non-SOEs, the opposite is relatively difficult. It is generally believed that the manager market of SOEs is the more effective one. This is because the managers of SOEs are strictly supervised, especially since the 18th National Congress of the Communist Party of China. Meanwhile, in terms of incentive mechanisms, in addition to economic incentives, SOE managers are incentivized by political promotions within the party and by the chance to obtain desirable government posts.

However, while we believe that the market for managerial talent for non-SOEs will continue to improve, we are not entirely confident that this will happen on a wide scale soon. On the one hand, the reason to believe that the manager market for non-SOEs will improve is as follows. Many listed non-SOEs started out as family firms. As these firms continue to grow, they may need to start filling top manager positions with professional managers from outside the firm. This can happen for two reasons. First, founders may not be the best managers of large enterprises, especially if they have no prior experiences at large firms. Second, there may not be enough insiders to manage the firm as it becomes larger, and this potential problem can be exacerbated due to China’s one-child policy that lasted for many years. On the other hand, however, family firms may be reluctant to give up control to outsiders. In Jiang et al. (2013), we find that non-SOEs are reluctant to appoint outsiders as CEOs, despite some firms having a need to do so.

¹⁸ <https://www.reuters.com/business/healthcare-pharmaceuticals/chinese-court-rules-against-kangmei-milestone-case-2021-11-12/>.

8.2. Product market competition

Product market competition can be a powerful corporate governance mechanism (Hart (1983), Scharfstein (1988), and Schmidt (1997)), and this has been found to be true in China as well (Bai, Liu, Lu, Song, and Zhang (2004); Liu (2006)). For non-SOEs, product market competition is closely related to companies' survival. Therefore, large shareholders will work hard to maintain competitiveness and to improve performance, to make sure that their companies do not fail and that their own interests are not harmed.

For SOEs, however, product market competition is associated with *managers'* survival (Jiang and Kim (2015)). Although the performance, or even the success of the company, may have little to do with the material interests of the SOE managers, the failure of the company will not only make the managers lose their current jobs, but it will also damage their reputations and lead to the loss of future job opportunities and the chance to obtain an attractive political post. Therefore, to avoid firm failure due to product market competition, SOE managers are just as motivated as non-SOE managers to work hard and to improve firm performance.

With the development of the private economy, and with the entry of foreign companies since the reform and opening-up, China's product market competition has become increasingly fierce. This has especially been the case since China's entry into the WTO, when the competition for Chinese companies became global. Among economists, some argue and find that competition that arises from globalization can hurt firms and even lead them to decrease their investment activities (e.g., Mello and Wang (2012) and Frésard and Valta (2016)). However, it seems that global competition has been good for Chinese firms overall. In our own research of Chinese manufacturing firms, we find a positive relation between product market competition and corporate investment, and we further find this investment is a value-enhancing proposition for firms (see Jiang, Kim, Nofsinger, and Zhu (2015)). Moreover, competition between SOEs and non-SOEs in China has also led to a win-win outcome. The competition shock that arose with the rise of non-SOEs has motivated SOE managers, which has given rise to the vitality of SOEs. Meanwhile, the institutional advantages enjoyed by SOEs have forced non-SOEs to become even more competitive and even more robust as going concerns, which has proven to benefit them greatly as they now compete in the global marketplace.

8.3. The market for corporate control

An active market for corporate control can also discipline top managers. When poor performing firms are targeted for acquisition, the target firms' top executives are usually fired after the takeover. In China, a market for corporate control was once almost nonexistent due to firms' concentrated ownership structures. For example, in 2000, the number of listed firms where the largest shareholder held less than 10% and 20% of the firm was only 5 and 61, respectively. In recent years, however, there is a gradual increase in the number of companies with dispersed equity ownership. In 2021, the number of listed firms where the largest shareholder held less than 10% and 20% is 143 and 853, respectively. As a result, nowadays, for companies with relatively dispersed equity ownership, if the agency problem of large shareholders or managers is serious and the company's performance is poor, it is quite possible that a hostile acquisition can occur.

For example, in 2015, two famous hostile takeovers of Chinese listed firms took place. South Glass A is a glass manufacturer. In 2013 and 2014, its ROE was 19.94% and 11.04%, respectively, and much higher than the industry median ROE of 5.71% and 5.65%. However, its P/E ratio in 2013 and 2014 was only 10.08 and 19.63, respectively, and far lower than the industry median P/E ratio of 27.96 and 35.40. The largest shareholder of South Glass A was Shenzhen International Holdings, but it held only 5.59% shares. South Glass A's strong operating performance but undervalued stock, along with its dispersed ownership, made it an attractive target for a hostile takeover. On April 28, 2015, Foresea Life Insurance (an affiliate of Baoneng Group) announced that it held 5.02% of South Glass A's outstanding shares, which they achieved through buying shares on the open stock market.¹⁹ On November 2, 2015, Foresea Life Insurance held 25.05% shares, and became the largest shareholder and the controller of South Glass A.²⁰

Vanke is a property developer in China. In 2015, the largest shareholder of Vanke is China Resources Holdings, which held 14.91% of shares, so Vanke publicly disclosed that it had no controlling shareholder.²¹ In 2013 and 2014, its ROE was 17.35% and 16.64%, respectively, and much higher than the industry median ROE of 9.19% and 8.37%. However, its P/E ratio in 2013 and 2014 was only 4.83 and 7.95, respectively, and far lower than the industry median P/E ratio of 15.47 and 24.73. Very similar to South Glass A, Vanke's strong operating performance but undervalued stock, along with its dispersed ownership, made it an attractive target for a hostile takeover. On July 11, 2015, Foresea Life Insurance (yes, the same acquirer of South Glass A) announced that it held 5% of Vanke's outstanding shares, which they achieved through buying shares on the open stock market.²² On August 26, 2015, Foresea Life Insurance became the largest shareholder of Vanke, holding 15.04% of its shares.²³ However, for Vanke and Foresea Life Insurance, the story does not end here. Eventually, Shenzhen Metro Group became the largest shareholder of Vanke.²⁴ Foresea Life Insurance now holds less than 5% of Vanke.²⁵

Although hostile takeovers can have some destructive effects on firms and on capital markets, their positive impact on reducing

¹⁹ Source: <http://www.szse.cn/disclosure/listed/bulletinDetail/index.html?3411eeb5-4f7b-43aa-8f71-64739b35e235>.

²⁰ Source: <http://www.szse.cn/disclosure/listed/bulletinDetail/index.html?7e09dd2f-dd2e-4d90-b3eb-c48b794cfe53>.

²¹ Source: Vanke's 2008 Annual Report.

²² Source: <http://www.szse.cn/disclosure/listed/bulletinDetail/index.html?79f710bd-5a08-416c-ab35-21659300eb86>.

²³ Source: <http://www.szse.cn/disclosure/listed/bulletinDetail/index.html?7319574f-07a2-4876-ab26-f0a51014ee57>.

²⁴ Source: <http://www.szse.cn/disclosure/listed/bulletinDetail/index.html?f8ad35a3-9ef5-4e2e-8acc-25fe89d0c7e5>.

²⁵ Source: <http://www.szse.cn/disclosure/listed/bulletinDetail/index.html?67cb0dde-9b24-4cd2-98c2-eb607dd21ce2>.

agency conflicts, improving subsequent firm performance, and representing a powerful corporate governance device, can result in a net benefit to minority shareholders. Therefore, we foresee that the market for corporate control will increasingly become a more important corporate governance mechanism soon, especially given that concentrated ownership continues to decline over time. However, we should be mindful that SOEs will never be regular targets for hostile takeovers.

8.4. Summary

The markets for managers, products, and corporate control in China are uniquely shaped by the country's economic and political context. The split labor market for SOEs and non-SOEs, intense product market competition, and the evolving market for corporate control all play significant roles in corporate governance. Future research should explore how these markets interact with and influence governance structures, particularly in the context of increasing globalization and regulatory changes. Additionally, understanding the distinct challenges and opportunities within these markets, especially regarding the integration of political and economic incentives, can provide valuable insights into enhancing governance practices in China. The gradual shift towards more dispersed ownership structures also presents an opportunity to explore the effectiveness of market-based governance mechanisms in a transitioning economy.

9. Corporate social responsibility

Corporate social responsibility (CSR) is an important complement to corporate governance, as it reflects a company's responsibility to multiple stakeholders. Indeed, [Tirole \(2001\)](#) defines corporate governance as "the design of institutions that induce management to internalize the welfare of stakeholders". For example, a firm's attention to environmental ("E") and social ("S") issues are often viewed conjointly with governance ("G"), giving rise to the well-known "ESG" acronym. In this section, we provide some simple descriptive statistics regarding Chinese listed firms' "E" and "S" performances. We do not focus on "G" because our prior papers have already discussed corporate governance in China in detail (see [Jiang and Kim \(2015\)](#) for many descriptive statistics and discussions on corporate governance in China, and [Jiang and Kim \(2020\)](#) for a literature review).

When compared to Western firms and countries, it may be fair to say that China and its firms were a little late to caring about and addressing CSR issues. For example, [Welch and Yoon \(2023\)](#) study U.S. firms during 2011–2018 and look at MSCI ESG scores. They report mean (median) scores for "E" and "S" to be 48 (46) and 43.8 (44), respectively. In contrast, for Chinese listed firms, when we use the same data source and same period as their study, the mean (median) scores for "E" and "S" are 27 (22) and 25 (21.5), respectively. [Christensen, Serafeim, and Sikochi \(2022\)](#) study 69 countries during 2004–2016 and use MSCI ESG scores. They report mean (median) scores for "E" and "S" to be 50.2 (50) and 46.4 (46), respectively. For Chinese listed firms, when we look at the same period as their study, the mean (median) scores for "E" and "S" are 29 (23.9) and 22.4 (19.6), respectively. That is, based on MSCI scores, U.S. firms and many other countries' firms performed much better than Chinese firms when it came to being environmentally and socially responsible. This may not be so surprising, given that China was largely a developing economy during this period.

However, the recent decade has ushered in an increasingly growing emphasis on environment-friendly policies by the Chinese government. For example, in 2010, the Guidance for the Disclosure of Environmental Information of Listed Companies was issued.²⁶ For the first time, guidance was provided to listed firms on disclosing information related to environmental protection. Submitting these nonfinancial disclosures is voluntary, but for firms in 16 "heavily polluting" industries, submitting an annual environmental report is mandatory, and they must disclose information regarding any major environmental problems, discharged pollutants, industrial wastes, and hazardous wastes, and so forth.

[Table 1](#) reports summary statistics of "E" and "S" scores for Chinese listed firms, by year. The information comes from the Chinese Corporate Social Responsibility (CCSR) database and is retrieved from the China Research Data Services (CNRDS) platform. The CCSR database starts in 2006, and it is based on the MSCI KLD database. For the environment rating, CCSR constructs eight positive environmental performance indicators (strength scores) and two negative indicators (concern scores) to assess whether firms are environmentally responsible and compliant. For each positive indicator, it is equal one if the firm: (1) develops or utilizes environmentally friendly products, equipment, or technologies; (2) adopts measures or technologies to reduce emissions; (3) uses renewable energy; (4) has measures or technologies for energy conservation; (5) adopts green office policies; (6) passes ISO 14001 certification; (7) wins environmental protection awards; and (8) has other environmental advantages that are not mentioned above. For each negative indicator, it is equal to one if the firm: (1) is penalized for damaging the environment and (2) discharges pollutants. [Table 1](#) reports the mean and median *net* environment scores (strengths minus concerns) by year.

For the social rating, CCSR has four categories: (1) diversity, (2) employee relations, (3) charity, volunteer activities, and social disputes, and (4) product. Because each category has many positive and negative indicators to calculate strength and concern scores, we will just provide some example indicators and report the number of positive and negative indicators for each category. For the diversity category, positive indicators include whether women are on the board and whether the firm has policies to assist disabled employees. In total, there are five (one) positive (negative) indicators. The negative indicator is when the firm has no woman among its directors, supervisors, and executives. For the employee relations category, positive indicators include whether the firm has safety training for employees and whether it has retirement benefits. In total, there are eight (two) positive (negative) indicators. A negative

²⁶ A description of the Guidance can be found here (in Chinese):https://www.mee.gov.cn/gkml/sthjbgw/qt/201009/t20100914_194484.htm.

Table 1

Environment and social ratings,

Environment and social ratings. This table presents the mean and median net environment ratings and social ratings of listed firms in China, by year. The data comes from the CCSR database on the CNRDS platform. For the environment ratings, there are eight strength indicators and two concern indicators. For the social ratings, there are 33 strength indicators and five concern indicators. The net scores are strengths minus concerns. Section 9 of the paper describes what some of the positive and negative indicators are reflecting. N denotes the sample size.

Year	Environment ratings			Social ratings		
	N	Mean	Median	N	Mean	Median
2006	19	1.4	1.0	19	5.6	5.0
2007	41	2.4	2.0	41	7.3	7.0
2008	369	2.6	3.0	369	8.3	8.0
2009	459	2.6	3.0	459	8.7	8.0
2010	530	2.7	2.0	530	9.2	9.0
2011	583	2.7	3.0	583	9.1	9.0
2012	645	2.7	3.0	645	9.4	9.0
2013	674	2.7	3.0	674	9.4	9.0
2014	705	3.3	3.0	705	9.6	9.0
2015	745	2.5	2.0	745	9.6	9.0
2016	793	2.9	3.0	793	10.1	10.0
2017	857	2.6	3.0	857	11.4	11.0
2018	940	3.4	3.0	940	11.7	12.0
2019	992	2.9	3.0	992	12.2	12.0
2020	1108	3.4	3.0	1108	12.8	13.0
2021	1349	3.8	4.0	1349	15.1	15.0

indicator includes whether the firm had many layoffs in recent years. For the charity, volunteer activities, and social disputes category, positive indicators include whether the firm made charitable donations and whether it promotes the economic development of the local community. In total there are eight (one) positive (negative) indicators. The negative indicator is when the firm has a dispute over its borrowing or investment behavior. For the product category, positive indicators include whether the firm has a product quality management system, whether it conducts customer satisfaction surveys, and whether it has anti-corruption and anti-bribery measures. In total, there are twelve (one) positive (negative) indicators. The negative indicator is when there is a recent dispute or regulatory action over the safety of its products or services. Table 1 reports the mean and median *net* social scores (strengths minus concerns) by year.

Table 1 reveals that Chinese listed firms have been improving in their environmental and social performance over time. For the environmental scores, the recent years' ratings are about 50% larger than the earliest years' ratings. For the social scores, the recent years' ratings are about twice as large as the earliest years' ratings. These recent results are not surprising. Since 2010, when the environmental reporting "Guidance" was issued, all listed firms in China are aware of the importance of being environmentally responsible. Nowadays, environmental policies have become an important part of Chinese firms' strategies (e.g., see Fan, Peng, Wang, and Xu (2021) and Xiao and Shen (2022)). In 2020, green loans and green bonds in China totaled 1.8 trillion U.S. dollars and 125 billion U.S. dollars, respectively, which makes China the world's largest green borrower.²⁷ Furthermore, it is widely well known that China has ambitions to reach peak CO₂ emissions by 2030 and achieve carbon neutrality before 2060.²⁸ In China's recent five-year plan, it addressed the three pillars of development: economic, social, and environmental.²⁹ Regarding environmental goals, clear targets were established to reduce energy consumption, carbon dioxide emissions, and deforestation, and to improve air and water quality. Firms will have to lead the way in these efforts. However, it will be interesting to see if firms voluntarily accept and embrace social and environmental responsibilities, or if the government will have to mandate and enforce them.

Table 2 reports environment and social ratings separately for SOEs and for non-SOEs. During the period from 2010 to 2018, SOEs were more environmentally and socially responsible than compared to non-SOEs. Perhaps this is not surprising. For SOEs, they will naturally take actions and adopt policies to further the government's environmental and social objectives. For non-SOEs, they may have emphasized profit maximization over social responsibility. However, in the most recent years, non-SOEs have been performing just as well as SOEs when it comes to being both environmentally and socially responsible. One possible explanation for why non-SOEs have finally caught up to SOEs is perhaps due to the Chinese government emphasizing that non-SOEs contribute to the country's common prosperity objectives (i.e., there is external pressure).³⁰ Another possible explanation is that non-SOEs have finally reached a stage in their life cycle where they can be more environmentally and socially responsible (i.e., there is an internal push). These are merely conjectures, and so we leave this to future research.

Corporate social responsibility (CSR) in China has evolved significantly over the past decade, reflecting a growing emphasis on environmental and social issues. However, challenges remain, particularly in aligning CSR practices with international standards.

²⁷ See: <https://english.news.cn/20220201/818e9d3af1384f9a88b09901361452c7/c.html>.

²⁸ See: <http://www.chinadaily.com.cn/a/202009/24/WS5f6c08aca31024ad0ba7b776.html>.

²⁹ A description of The Plan (in English) is downloadable here: www.undp.org/china/publications/issue-brief-chinas-14th-five-year-plan.

³⁰ A sample media description is here: <https://www.china-briefing.com/news/china-common-prosperity-what-does-it-mean-for-foreign-investors/>

Table 2

Environment and social ratings: SOEs versus non-SOEs.

This table presents the mean and median net environment ratings (in Panel A) and social ratings (in Panel B) of listed firms in China, by year, and separately for SOEs and non-SOEs. The data comes from the CCSR database on the CNRDS platform. For the environment ratings, there are eight strength indicators and two concern indicators. For the social ratings, there are 33 strength indicators and five concern indicators. The net scores are strengths minus concerns. Section 9 of the paper describes what some of the positive and negative indicators are reflecting. N denotes the sample size. The last column reports the mean differences between SOEs and non-SOEs. ***, **, an * denote whether the difference is statistically significant at the 1, 5, and 10 percent levels, respectively.

Panel A: Environment ratings							
Year	SOEs			Non-SOEs			Mean Diff
	N	Mean	Median	N	Mean	Median	
2006	14	1.4	1.5	5	1.4	1.0	−0.04
2007	22	2.5	3.0	19	2.2	2.0	0.39
2008	258	2.6	2.5	111	2.4	3.0	0.19
2009	319	2.6	3.0	140	2.5	3.0	0.04
2010	353	2.8	3.0	177	2.5	2.0	0.31**
2011	374	2.8	3.0	209	2.5	2.0	0.34***
2012	400	2.8	3.0	245	2.5	2.0	0.34***
2013	417	2.8	3.0	257	2.4	2.0	0.43***
2014	428	3.5	4.0	277	2.9	3.0	0.56***
2015	446	2.6	2.0	299	2.4	2.0	0.22**
2016	461	3.0	3.0	332	2.7	3.0	0.31**
2017	472	2.7	3.0	385	2.5	3.0	0.16
2018	495	3.5	3.0	445	3.2	3.0	0.28**
2019	506	3.0	3.0	486	2.8	3.0	0.12
2020	530	3.5	3.0	578	3.4	3.0	0.16
2021	598	3.8	4.0	751	3.9	4.0	−0.12

Panel B: Social ratings							
Variable	SOEs			Non-SOEs			Mean Diff
	N	Mean	Median	N	Mean	Median	
2006	14	5.4	5.0	5	6.2	5.0	−0.77
2007	22	7.4	7.0	19	7.2	8.0	0.20
2008	258	8.2	8.0	111	8.4	8.0	−0.15
2009	319	8.7	8.0	140	8.8	8.5	−0.13
2010	353	9.2	9.0	177	9.0	9.0	0.20
2011	374	9.2	9.0	209	9.0	9.0	0.23
2012	400	9.6	9.0	245	9.0	9.0	0.59**
2013	417	9.5	9.0	257	9.2	9.0	0.28
2014	428	9.8	10.0	277	9.2	9.0	0.54**
2015	446	9.7	9.0	299	9.4	9.0	0.33
2016	461	10.4	10.0	332	9.7	9.0	0.72***
2017	472	11.9	12.0	385	10.9	11.0	1.04***
2018	495	12.1	12.0	445	11.3	11.0	0.82***
2019	506	12.2	12.0	486	12.2	12.0	0.03
2020	530	12.9	13.0	578	12.6	13.0	0.29
2021	598	15.0	15.0	751	15.2	15.0	−0.23

Future research should explore the underlying factors driving CSR adoption in Chinese firms, especially in distinguishing the roles of government mandates versus voluntary corporate initiatives. Additionally, investigating the unique aspects of CSR in SOEs versus non-SOEs can provide insights into how different ownership structures impact corporate responsibility. As China continues to prioritize sustainable development, understanding these dynamics is crucial for fostering a more comprehensive and effective approach to CSR.

10. Papers in the special section on CG and CSR in China³¹

Almost a hundred papers were considered for the special section on Corporate Governance (CG) and Corporate Social Responsibility (CSR) in China. All submissions were initially screened by the guest editors, and many were then sent out for formal double-blind review to two or three referees. In this section, we briefly describe the papers that were finally accepted to the special section, along with a few related papers published in regular issues of BAR. We will first describe corporate governance papers, followed by CSR papers.

³¹ This section analyzes the papers submitted to and accepted for the special section (those indicated with a * in the reference list). However, to enrich the discussion, this analysis also includes a few papers submitted and accepted for regular issues but relating to CGSR in China, such as Li, Wang, and Li (2023), Fu, Ma, Zeng, and Zhang (2023), Caglayan, Mateut, and Zanchettin (2023), and Cheng, Zhang, and Liu (2023).

10.1. Corporate governance papers

Most of the corporate governance studies in the special section focus on how corporate policies, such as capital structure, investment, tax, and corporate disclosures, are affected by large shareholders, ownership structures (such as business groups, family firms, and state-ownership), regulatory or government policies, and political affiliations. One striking feature that most of these papers share pertains to their novelty. Many papers study new (or relatively new) interesting research questions, or study unique governance mechanisms and topics.

Li, Wang, and Li (2023) study “zombie” firms in China. Zombie firms are not self-sustaining firms. Such firms are a drag on economic activity, and China significantly suffers from this problem compared to other large economies. Typical “blood transfusions” to these firms come from banks and from the government. The authors find another transfusion channel: internal capital markets. They further find that the reason why internal capital markets are motivated to subsidize zombie firms is to avoid risk contagion, to avoid the loss of control rights, to act socially responsible, and to maintain rent-seeking opportunities for managers. We earlier discussed the complexities of agency problems in Chinese corporate governance. The internal capital markets’ role in sustaining zombie firms reflects one such complexity. Such internal support mechanisms illustrate the potential for misallocation of resources, a critical issue that can undermine economic growth and reform efforts in the Chinese context.

Fu, Ma, Zeng, and Zhang (2023) study Chinese listed firms that issue a rather unique type of voluntary disclosure: operation reports that detail the firms’ production and sales volumes for each type of product. Making such disclosures is becoming a growing trend, but little is known about their determinants and their value. The authors find that firms that issue sales/production reports tend to belong to industries with a more uncertain environment, possess a stronger negotiating position in the supply chain, or experience lower levels of implicit collusion difficulty. They also find that the issuance of sales/production reports increases firm value, as they reduce information asymmetry, foster trust from suppliers and customers, and facilitate coordination with industry peers. These disclosures serve as a response to the lack of transparency that often characterizes firms in emerging markets like China, where information asymmetry is exacerbated by the concentration of ownership. This practice supports our earlier point on the role of information intermediaries in enhancing market efficiency and corporate governance, by fostering a more informed investment environment. The increasing trend of such disclosures also reflects a shift towards greater corporate accountability, aligning with global standards and investor expectations.

Caglayan, Mateut, and Zanchettin (2023) study a very large dataset of Chinese firms and ask the following research question: “does political mediation facilitate the efficient outcome of reducing the debt maturities of financially unstable firms?” They find that firms with political affiliations have longer debt maturities, consistent with previous literature, while firms’ cash flow volatility does not seem to be directly related to firms’ debt maturities. However, they further find that cash-volatile firms cannot fully benefit from their political affiliations in adjusting their debt maturities. They argue, therefore, that political circles are providing a disciplinary role, to ensure that long-term finance is being channeled to stable rather than unstable firms. They further find that this adverse effect of firm volatility on debt maturity is binding for firms that have ties with local rather than central political circles. This is perhaps due to local politicians’ interests in supporting local stable firms to ensure local economic stability and growth. The findings illustrate the complex interplay between political connections and corporate finance in China. This ties into our discussion on the influence of political systems on corporate governance, particularly in how firms with political affiliations might navigate regulatory and market pressures differently than non-affiliated firms, highlighting the unique political and economic dynamics at play. This study emphasizes the dual-edged nature of political ties, where benefits must be weighed against potential governance and market distortions.

He and Kryzanowski (2023) also study political connections in China, but they focus on its role in mutual funds’ investment decision-making. They find that mutual funds with politically connected fund managers, and funds from politically connected fund management companies (FMC), tend to hold stocks with a direct political link. Their findings indicate that politically connected fund managers and FMCs were able to use their political networks to get information about politically connected stocks and allocate more resources to them. However, after China’s anti-corruption campaign, they find that politically connected mutual funds reduced their connected holdings. The study sheds light on the significant role that political connections play in the Chinese market, not just for firms but also for financial institutions. This aligns with our analysis of the broader corporate governance environment in China, where political affiliations can provide competitive advantages or risks, depending on the shifting political landscape, especially post anti-corruption campaigns. This dynamic underscores the importance of political risk assessment in investment decision-making within the Chinese market.

Cheng, Zhang, and Liu (2023) study firm financialization within the context of family firms in China. Financialization is where firms invest in financial investments, perhaps in lieu of real investments, and innovation. They study two types of family firms: those that started off as small SOEs that were later reorganized as private family-owned firms (RFF, i.e., reorganized family firms), and those that were founded by an entrepreneur (EFF). They find that RFFs are more likely to engage in financial investing than EFFs. The authors argue that this difference occurs due to the two different ways these firms were founded as FFs (i.e., they were “imprinted” differently). Consistent with their argument, they find that RFFs are risk averse, while EFFs are more risk tolerant. This research touches on the differentiation between reorganized family firms (RFFs) and entrepreneur-founded family firms (EFFs), echoing our discussion on the diverse ownership structures in China. The preference of RFFs for financial investments over real investments highlights the risk aversion associated with their SOE origins, contrasting with the more entrepreneurial risk-taking seen in EFFs. This distinction provides insights into how historical and organizational contexts can shape corporate strategies and risk profiles.

Xie, Tian, and Wu (2023) study corporate tax avoidance (CTA) in China. CTA is a large and still growing literature. We might normally think that all firms will try to reduce their tax burdens, all else equal. However, the authors suggest that some firms may not attempt to lower their tax payment in exchange for other benefits. They focus on firms where the local government debt (LGD) is high.

They find that in those localities, municipal SOEs do not engage in CTA, suggesting that local SOEs are helping the local government to service its debt. In exchange, the municipal SOEs with lower tax avoidance receive more government contracts. Their findings on the behavior of municipal SOEs in high-debt regions emphasize the dual roles of SOEs in China—balancing commercial objectives with social responsibilities. This supports our discussion on the unique objectives of SOEs, which include supporting local government finances and broader economic stability, demonstrating how these firms may prioritize state-directed goals over profit maximization. Such actions illustrate the complex balancing act required by SOEs in fulfilling both state and commercial mandates.

Zhao, Lu, and Xia (2023) study a unique and interesting governance mechanism. At the end of 2014, the China Securities Regulatory Commission (CSRC) established the China Securities Investor Services Center (CSISC), which is a non-profit financial institution, with the aim of protecting minority shareholders. In the beginning of 2016, the CSRC launched a Shareholding Pilot Program, requiring the CSISC to buy and hold 100 common shares in listed companies in pilot regions, thus making the CSISC a minority shareholder of those listed firms. By the end of 2021, the CSISC exercised its shareholder rights about four thousand times, including attending shareholder meetings and briefings, calling extraordinary shareholder meetings, making enquiries and inspections, submitting comments and proposals, voting, and even filing lawsuits. The authors find that after the program launch, firms in the pilot regions experience a relatively large decrease in corporate fraud. More specifically, the CSISC shareholding decreases firms' propensity to commit corporate fraud and increases the probability of detecting fraud. The introduction of the CSISC as a minority shareholder aiming to protect small investors reflects the evolving landscape of corporate governance in China. This initiative, along with the observed reduction in corporate fraud, ties into our earlier discussion on the increasing efforts by the Chinese government to enhance regulatory oversight and strengthen investor protection mechanisms. This development highlights a proactive approach by regulators to curb malpractices and promote a fairer investment environment.

10.2. CSR papers

The CSR papers in the special section either focus on the determinants of CSR activities and disclosures, or the consequences of CSR activities. While the CSR topics that are studied vary, they all provide a valuable lesson, by either showing how to encourage firms to become more socially responsible, or by showing the positive outcomes to firms for being more socially responsible.

Xue, Wang, and Hu (2023) study the relation between economic policy uncertainty and Chinese firms' CSR disclosures. In China, given the government's active role in the economy, economic policy uncertainty can be high, and it can therefore significantly influence firms' policies and activities, especially given that many new government policies are unforeseen and sudden. In their study, the authors focus on a relatively unexplored CSR disclosure activity: within-firm year to year disclosures. That is, do firms change their CSR activities, and thus disclosures, from year to year or do they simply copy last year's disclosures, indicating that they are not serious about CSR activities. The authors use textual analysis to capture within-firm CSR disclosure similarity and employ a news-based index of economic policy uncertainty. They find that economic policy uncertainty significantly increases CSR disclosure similarity. The authors suggest that when economic policy uncertainty is high, then firms must divert their attention to other corporate activities and thus neglect CSR activities. They also find that this effect weakens for SOEs but strengthens when firms face financial constraints or experience financial losses. This study highlights how economic policy uncertainty can influence corporate behavior, particularly in CSR disclosures. This supports our earlier discussion on how external economic and political factors in China can significantly impact corporate governance practices, including how firms manage their public image and compliance with state expectations. The findings suggest that during uncertain times, firms may deprioritize CSR, reflecting broader strategic shifts towards core business survival.

Shen and Zheng (2023) study the effect of financial liberalization on Chinese firms' CSR activities. Specifically, they focus on foreign bank entry. They find that after foreign banks enter, local firms' CSR performance improves. How does the presence of foreign banks lead to these improvements? The authors find evidence that foreign banks can reduce firms' financial constraints, which allows them to invest more in CSR activities. This is especially true for small non-SOEs, which are firms that typically face the greatest financial constraints in China. The improvement in CSR performance following foreign bank entry illustrates how financial liberalization can drive positive corporate behavior changes. This ties back to our discussion on the impact of globalization and external influences on Chinese corporate governance, showing how opening up to foreign entities can lead to greater accountability and social responsibility among local firms. This effect underscores the role of competitive pressures in elevating corporate standards in emerging markets.

Zheng, Ghorbani, Yan, and Cao (2023) study the relation between CSR performance and securities analysts' recommendations. They find that analysts favorably recommend firms with higher or growing relative CSR performance, but the latter effect gradually declines. They further find that the decreasingly positive impact of CSR performance improvement is augmented for firms with higher rankings than competitors in the same industry. In addition, they document evidence that the positive effect of relative CSR performance is strengthened when a firm is covered by fewer analysts or the analysts following the firm have more work experience on average but is weakened when the firm confronts weaker competitive pressure or stronger institutional pressure. This research underscores the growing importance of CSR in corporate valuation and analyst coverage in China, reflecting a broader shift towards recognizing the value of socially responsible business practices. This aligns with our discussion on CSR as a crucial element of corporate governance in China, particularly as firms increasingly face both domestic and international pressures to improve their ESG performance. The study also highlights the increasing sophistication of market participants in evaluating firms based on comprehensive ESG criteria.

11. Conclusion

It has only been about 30 years since the establishment of China's capital markets and the emergence of its listed companies. Meanwhile, China is still a developing country whose formal systems are still in need of continued improvements and refining. Therefore, it is not surprising that there remain many corporate governance problems in China that need fixing and improving. However, we should also recognize that what China has experienced and learned up to now are worth summarizing, understanding, and sharing. Understanding corporate governance in China is not only about emphasizing its uniqueness, but also about knowing why and how it is unique, in both breadth and depth. In this paper, we attempted to explain the "China model" of corporate governance practice and theory. We hope that it provides useful implications for corporate governance practices in other countries. We also summarize papers that were published in the special section on corporate governance (CG) and CSR in China. These studies make important and significant contributions to the CG and CSR literatures.

There are still some issues and challenges that are not well understood and need further study in future research, two of which we find particularly important. First, as discussed in the introduction, China is a socialist country, unlike the political systems of most other countries. Political pressure is just as important as economic pressure in shaping corporate governance systems (Roe, 1994; Shleifer & Vishny, 1997). Therefore, the conventional wisdom of the Anglo-American model and the German-Japanese model may not fully apply to understanding corporate governance in China. What political characteristics do socialist countries possess? Understanding these characteristics may be a fundamental prerequisite for comprehending corporate governance in China.

Secondly, China has its own unique culture. Investor protection is a primary goal of corporate governance (Shleifer & Vishny, 1997; Stulz & Williamson, 2003). Culture plays a crucial role in explaining why investor protection varies across countries. China, with its long history and unique cultural heritage, requires a deep understanding of its culture to fully grasp the nuances of corporate governance within the country.

Data availability

We used publicly available data from a widely used database vendor.

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